

Consumer Credit Policy — 2024 Edition

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CP-1. Purpose and scope

This policy governs the granting of unsecured personal loans to salaried individuals. The edition of this policy that applies to an application is the edition in force on the **date the application is received**. A later edition never applies retroactively to an application already received.

CP-2. Definitions

- **Net monthly income:** salary after tax, social insurance and mandatory deductions, as shown on the salary certificate.
- **Existing monthly obligations:** the total monthly instalments of all credit facilities reported in the applicant’s credit bureau report, including credit card minimum payments.
- **Debt burden ratio (DBR):** existing monthly obligations plus the instalment of the requested loan, divided by net monthly income.
- **Age at maturity:** the applicant’s age at the due date of the final instalment.

CP-3. Eligibility

An applicant must satisfy all of the following:

ID	Criterion	Requirement
CP-3.1	Employment	Salaried and confirmed; probation period completed
CP-3.2	Employment duration	At least 6 months with the current employer
CP-3.3	Minimum net monthly income	EGP 8,000
CP-3.4	Minimum age at application	21 years
CP-3.5	Maximum age at maturity	60 years
CP-3.6	Credit bureau score	Minimum 600

CP-4. Affordability

CP-4.1 Maximum debt burden ratio

The DBR of an approved application must not exceed **50%** of net monthly income.

CP-4.2 Calculation of the instalment

The monthly instalment is calculated on a reducing balance: $\text{instalment} = P \times r / (1 - (1 + r)^{-n})$, where P is the loan amount, r is the applicable annual rate divided by 12, and n is the tenor in months. The result is rounded to two decimal places, half up.

CP-4.3 Maximum eligible amount

Where the requested amount fails CP-4.1, the bank shall calculate the largest loan amount whose instalment keeps the DBR at the maximum permitted, and may offer that amount instead. The maximum eligible amount is rounded **down** to the nearest EGP 1,000.

CP-4.4 Order of assessment

Eligibility (CP-3) is assessed first. Affordability (CP-4) is assessed only for applicants who satisfy CP-3.

CP-5. Income verification

Net monthly income is evidenced by a salary certificate issued within the last 60 days and stamped by the employer. Where the certificate and the bureau report disagree on employment, the application is referred to a credit officer.

CP-6. Credit bureau

A bureau report must be obtained for every application. - Score 600 and above: proceed to affordability assessment. - Score below 600: **refer to a credit officer**. Such applications are not automatically declined. - Any facility reported as in default: decline.

CP-7. Amount, tenor and pricing

Amounts and tenors are limited by the product sheet in force. The interest rate is taken from the approved pricing table by tenor band. Deviations from published pricing require Credit Committee approval.

CP-8. Referral and decline

An application is **referred** (not decided by the system) where: evidence is missing or unreadable, documents contradict each other, the bureau score is below the minimum, or the applicant is an employee of the bank.

An application is **declined** where a mandatory criterion in CP-3 fails, the DBR exceeds CP-4.1 and the applicant rejects the maximum eligible amount, or a facility is in default.

CP-9. Non-discrimination

Credit decisions shall not take into account the applicant's gender, religion, marital status or nationality. These attributes may be collected for statistical reporting only and must not be used in assessment.

CP-10. Documentation of decisions

Every decision must record: the policy edition applied, the figures used, the source document for each figure, the rule results, and the identity of the approver.

CP-11. Prohibited purposes

Loans may not be granted for business or commercial purposes, the purchase of securities, or any purpose prohibited by the circulars in force.

CP-12. Exceptions

Any exception to this policy requires written approval from the Head of Consumer Credit and must be recorded in the credit file.